BAP No. NV-25-0123

Bankr. No. 25-10123-abc (Bankr. D. Nev.)

UNITED STATES BANKRUPTCY APPELLATE PANEL OF THE NINTH CIRCUIT

JANE EXAMPLE,
Appellant,

v.

ACME LENDING, LLC,
Appellee.

On Appeal from the United States Bankruptcy Court for the District of Nevada,
Honorable Sample Judge, Presiding

APPELLEE'S ANSWERING BRIEF

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Summary of Argument

The judgment should be affirmed. The Bankruptcy Court found, on a stipulated record, that Jane Example transferred her parcel to her son for consideration that was not reasonably equivalent to its value, at a time when she was insolvent. Ms. Example does not dispute the value the appraiser assigned to the parcel. She disputes only how the court weighed it. That is a question of fact, and the findings are not clearly erroneous.

The appellant's first argument, that the assumption of a tax lien is value, misreads 11 U.S.C. § 548. The lien was a debt of the transferor, and it was discharged for her benefit; the transferee received the parcel with the encumbrance attached. Even if that were value, the appellant has not shown that it is enough to reach the range the court found reasonable.

The appellant's second argument, about the state-law period under 11 U.S.C. § 544, was not forfeited by the Bankruptcy Court's procedure, and the period is not a ground on which the judgment depends. The court's judgment rests on section 548. Any error in the section 544 discussion is harmless because the estate prevails on section 548 alone.

Argument

I. The Bankruptcy Court Correctly Found That the Transfer Was Not for Reasonably Equivalent Value

A. The Court Compared the Consideration to the Appraised Value

The Bankruptcy Court did not, as the appellant asserts, skip the value comparison. The court's decision sets out the appraiser's valuation, the consideration recited in the deed, and the balance of the lien that the son assumed. (ER 22-24.) From those facts the court concluded that the consideration fell well below the value of the parcel. (ER 25-27.) That conclusion is a finding of fact entitled to deference. Fed. R. Bankr. P. 8014 requires the Panel to review the record as the court found it.

The appellant's emphasis on the appraiser's range is misplaced. The appraiser gave a range of values for the parcel, and the court was entitled to select the figure within it that best reflected the market at the time of transfer. (ER 60-64.) The appellant has not shown that the court's selection was clearly erroneous. She argues instead that a different figure in the same range would have produced a different result. That is not error.

B. The Assumed Lien Does Not Change the Analysis

The appellant argues that the assumption of the property tax lien was consideration for the transfer. The argument assumes the answer. The lien was the debtor's own obligation, secured against the parcel. Its assumption by the transferee reduced the transferor's debt, but it also reduced the value the estate would have received for the parcel, so the same dollars were counted on both sides of the ledger.

Even if the Panel credits the lien at full value, as the appellant asks, the consideration still falls below the value the court found for the parcel. The appellant does not contend otherwise. (ER 65-66.)

C. The Relationship Between the Parties Supports the Findings

The court also considered the timing of the transfer and the parties' relationship. 11 U.S.C. § 548 does not make those facts an element of constructive fraud. The court did not treat them as one. It considered them as circumstantial evidence bearing on the reasonableness of the consideration and on the debtor's financial condition, which is the proper use of such evidence. Because the court's finding on value stands on the appraisal alone, the Panel need not reach whether the relationship would independently support it.

II. The Solvency Finding Rests on the Whole Record

A. The Court Did Not Rely Only on the Trustee's Balance Sheet

The appellant says the court relied on an incomplete balance sheet. The record is more complete than that. The court had the trustee's balance sheet, the testimony of the trustee's witness, and the debtor's own schedules filed in the bankruptcy case. (ER 30-35.) The schedules list the same liabilities the balance sheet lists and do not include the receivables the appellant now identifies.

The omitted receivables were not established on this record. The appellant did not offer evidence of their collectability at the time of the transfer. A debtor who asserts an asset bears the burden of showing that it exists and has value, and the appellant did not carry that burden before the court. (ER 36-37.)

B. Any Incompleteness Does Not Require Reversal

Even if the balance sheet were incomplete, the court's finding of insolvency rests on the debtor's liabilities, which the appellant does not dispute, and on the value of her remaining assets. The appellant has not shown that crediting the receivables would reverse the finding. A party challenging a finding must show that the error affected the result, and she has not done so.

III. Any Error in the Section 544 Discussion Is Harmless

A. The Judgment Rests on Section 548

The Bankruptcy Court's judgment avoids the transfer under 11 U.S.C. § 548. Its discussion of the state-law period under 11 U.S.C. § 544 describes an alternative basis for preserving the avoided transfer for the estate. The judgment would stand without it. (ER 40-41.)

B. The Appellant Had Notice and an Opportunity to Respond

The appellant argues that the court raised the state-law period without giving her a fair opportunity to respond. The record does not bear that out. The estate's avoidance claim, as assigned, expressly reserved the estate's rights under section 544, and the appellant's own pretrial statement addressed the timing of the transfer relative to the petition. (ER 15-17, 45-47.) Her opportunity to address the period was present, and she did not use it at trial. Law v. Siegel does not require a different result, because the court did not surcharge any exemption or rely on an equitable power outside the Code. 571 U.S. 415 (2014).

Conclusion

The judgment of the Bankruptcy Court should be affirmed.

/s/ Chris Demo
Attorney for Appellee Acme Lending, LLC
November 4, 2026

CERTIFICATION OF INTERESTED PARTIES

The following listed parties have an interest in the outcome of this case. These representations are made in order that judges of the Panel may evaluate possible disqualification or recusal.

Jane Example, Appellant

Acme Lending, LLC, Appellee

Pat Sample, counsel for Appellant

Chris Demo, counsel for Appellee

/s/ Chris Demo

CERTIFICATE OF COMPLIANCE

This brief complies with the type-volume limitation of Fed. R. Bankr. P. 8015(a)(7) because it contains 975 words, excluding the parts of the brief exempted by Fed. R. Bankr. P. 8015(g).

This brief complies with the typeface and type-style requirements of Fed. R. Bankr. P. 8015(a)(5) and (6) because it has been prepared in a proportionally spaced typeface, 14-point EB Garamond, with plain roman type and italics for emphasis.

/s/ Chris Demo

CERTIFICATE OF SERVICE

I hereby certify that on November 4, 2026, I electronically filed the foregoing document with the Clerk of the Court for the Bankruptcy Appellate Panel for the Ninth Circuit by using the CM/ECF system.

I certify that all parties of record to this appeal either are registered CM/ECF users, or have registered for electronic notice, or have consented in writing to electronic service, and that service will be accomplished through the CM/ECF system.

/s/ Chris Demo